

1.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes analysis which is, at best, very weak - includes attempted evaluation which is weak and unsupported.	1 – 5 marks

Relevant issues and areas for discussion include:

- adequate housing as a basic human need, indicated by the mention of housing as a merit good in **Extract E**
- population growth, leading to more households, outstripping the growth in the UK's housing stock
- different methods of dealing with the problems experienced in the housing market, some of which involve more government spending on housing, eg relaxing planning controls, eliminating other impediments to private sector provision of more houses, making it easier for people to borrow, cutting SDLT, making it more expensive for people to buy and own a second home, discouraging housebuilders from sitting on building land, 'encouraging' local authorities to build more houses, subsidising housing associations, increasing 'housing benefits' paid to people on low incomes, rent controls, measures to encourage the provision of low-cost housing, encouraging innovation and improvements in productivity in the construction of houses
- an assessment of the pros and cons of some of the above
- the impact of more government spending on housing on the budget deficit and the national debt
- the significance of the type of government spending and whether it affects the 'current budget balance' or the overall budget balance, ie ceteris paribus, more capital spending will increase the overall budget deficit but not the current deficit
- the macroeconomic consequences of an increase in the budget deficit and national debt
- possible opportunity cost of an increase in government spending on housing, eg reduced spending on other programmes, higher taxes, crowding out of the private sector
- the case for more government borrowing for capital projects when government borrowing costs are low
- are there sufficient resources, eg construction workers, available to increase the number of houses built?
- increased spending on house building and short-run economic growth, including possible multiplier effects
- increased spending on house building and long-run economic growth
- market failure in the housing market and the possibility that state intervention may result in government failure
- the case for more state provision and ownership of the housing stock versus encouraging more private-sector provision
- should private-sector provision be encouraged by deregulation and relaxing planning controls or by the state giving financial support to the sector and/or homebuyers?
- are measures that make housing more affordable likely to help by encouraging private sector providers to build more homes or are they likely to just bid up house prices, adding to the problem?

Good answers are likely to present and evaluate arguments for and against the government increasing its spending on housing. They are also likely to discuss other methods of dealing with the problems of the UK housing market. The significance of and the impact on the macroeconomy of increasing spending on housing are likely to be considered, as well as possible microeconomic effects of specific policies identified. The response should include a supported recommendation which could be either for or against the government increasing its spending on housing. The recommendation might also include an alternative policy or set of policies.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a student's response to the question.

An answer that does not include ANY evaluation must not be awarded more than 13 marks.

[25]

2.

In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

Where there is no **explicit** reference to the data, award a maximum of **21 marks**.

Level 5	Good analysis <u>and</u> good evaluation	22 to 25 marks <i>Mid-Point 24 marks</i>
Level 4	Good analysis <u>but</u> limited evaluation OR Reasonable analysis <u>and</u> reasonable evaluation	17 to 21 <i>Mid-Point 19 marks</i>
Level 3	Reasonable including some correct analysis <u>but</u> very limited evaluation	10 to 16 <i>Mid-Point 13 marks</i>
Level 2	Weak with some understanding	4 to 9 <i>Mid-Point 7 marks</i>
Level 1	Very weak	0 to 3 <i>Mid-Point 2 marks</i>

Refer also to the issues and areas for discussion on the next page.

Introduction	- Definitions / descriptions of, e.g. - Market forces - Government intervention / regulation
Developing the response to the question: (Application)	Comments from own economic knowledge or based on the data, e.g. - Further comments on Extract A, (international comparisons of green / non-green energy sources) - Examples from Extract B of businesses behaving responsibly, e.g seeking new fuels for aircraft, developing electric cars - Market forces clashing with government predictions, e.g. seeking new oil while wanting to limit climate change (Extract B) - Failures of regulation (Extract C) - Unsustainable business model (Extract C)
Developing the response to the question: (Analysis)	Arguments for regulation / intervention e.g. - Market failure - Negative externalities - Inability of markets to make long term predictions - Health and safety issues arising from environmental problems - The need for coordinated international action Arguments for market forces e.g. - Government failure - Efficiency - Competition, enterprise, efficiency - Signalling, incentive, rationing functions of price
Evaluation	- Evaluation of policies in general, e.g. command and control vs. market-focused policies - Evaluation of some specific policies, e.g. prohibitions, regulations, vs. pollution permits, carbon off-setting, taxes, subsidies - Discussion of the quotation (perfectly performing markets vs. wonderfully wise governments) - Consideration of why environmental policies might be good for business and also why it is good for business to respect the environment - Advantages and disadvantages of a mixed economy approach - Market failure versus government failure - Need for privatisation to be accompanied by effective regulation - Discussion of the claim about privatised profits and nationalised costs <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Relevant diagrams - An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the issues and areas noted. They may also discuss issues not mentioned in the table.

[25]

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In this part of the question, candidates will need to demonstrate that they are able to evaluate issues and arguments to support a conclusion if they are to be awarded **more than 15 marks**.

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Issues and areas for discussion include

Introduction	- Definitions, examples - Economies of scale - What is meant by “small” or “large” in this context
Developing the response to the question: Application/Analysis	- Distinction between short run and long run - Diminishing returns and returns to scale - Advantages of large firms, e.g. - Types of economy of scale - Other advantages of size, e.g. opportunities for collusion, price making, monopoly, oligopoly, dominant firm price leadership - Disadvantages: diseconomies of scale; x inefficiency - Globalisation and concentrated markets - Government policy (eg sweetheart tax deals) - Advantages of small firms, e.g. - Niche markets - Barometric price leadership - Disruption, e.g. easyJet, Uber - Government policy favouring small firms (eg small business support, start-up grants; business advice agencies) - Government policy hindering small firms, e.g. business rates, VAT, red tape
Evaluation	- Ways in which small firms can fight back, e.g. - Reducing costs (internet / weightless economy) - Technical change reducing the need for scale economies (eg nuclear power stations versus windmills) - The importance of small firms in the economy - As employers - As motors for growth - As innovators - As ethical producers - Serving specialised markets - Having the potential for growth – large firms start out small - Arguments for and against government intervention to support / promote Small & Medium Enterprises - The question of whether government intervention is necessary - Overall view of advantages and disadvantages of large and small firms <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Diagrams - An overall judgement on the issues raised - Examples

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Issues and areas for discussion include

Introduction	Basic definitions/descriptions, e.g. producer surplus/ consumer surplus; regulation
Developing the response to the question: Application / Analysis	- Advantages of price discrimination, e.g. - Producers receive higher profits which, if re-invested, might benefit consumers through higher efficiency - Increased affordability for consumers paying the lower prices (the low cost airline model, which has been replicated by some other industries) - PD might turn a loss making firm into a profitable one - PD might enable a good / service to be produced that otherwise would be lost - Disadvantages - PD turns consumer surplus into producer surplus, so represents a transfer of resources from a less powerful group to a more powerful one (re-distribution of income in reverse) - In extreme cases, everyone pays the maximum they are willing to pay; consumer surplus disappears - Consumers paying the highest prices might switch to goods / services that are less socially optimal, e.g. consumers paying peak-time public transport fares who can afford to switch to private transport might be incentivised to do so.
Evaluation	- Critical discussion of the quotation - Overall consideration of advantages vs. disadvantages - The case for and against regulation - The spread of price discrimination from low-cost airlines and railway journeys to other business models, e.g. hotels, taxi journeys, and according to the data, theme parks and cruise ships: is this good or bad for consumers / producers? - Discussion of the word 'always' in the question <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
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Issues and areas for discussion include

Introduction	- Definitions / descriptions of, e.g. - Privatisation - Public ownership
Developing the response to the question: (Application)	- Comments from own economic knowledge or based on the data, e.g. - Further comments on Extract A, (differences / similarities between different governments) - Examples from Extract B of privatisations - Dangers of privatisation mentioned in Extract C
Developing the response to the question: (Analysis)	NOTE There are two aspects to the question: privatisation vs. nationalisation, and domestic ownership vs. international ownership. To achieve Level 5 both aspects must be analysed and evaluated. Level 4 can be achieved by a thorough treatment of one aspect, as long as the other is addressed to some extent. - Arguments for nationalisation / against privatisation, e.g. - Externalities - Inability of markets to make long term predictions - Health and safety issues arising from environmental problems - The need for coordinated international action - Merit goods, demerit good, public goods - Arguments for privatisation / against nationalisation, e.g. - Efficiency - Competition, enterprise, efficiency - Signalling, incentive, rationing functions of price - Advantages / disadvantages of international cooperation. - Implications of inward investment; skills / knowledge transfer, comparative advantage vs. self-sufficiency, import substitution
Evaluation	- Evaluation of some specific privatisations, e.g railways, nuclear power, water - Discussion of the quotation (whether the exclusion of British state ownership can be justified if owners are nationalised by their states, or have the backing of a foreign sovereign wealth fund) - Advantages and disadvantages of a mixed economy approach - Market failure versus government failure - Need for privatisation to be accompanied by effective regulation - Globalisation and globalism - Protection vs. free trade; free movement of capital <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Relevant diagrams - An overall judgement on the issues raised.

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6.

For relevant definitions, e.g. commercial success, in terms of trade and profitability (2 marks), market failure, in terms of opportunity costs / externalities (2 marks)	Up to 2 marks per point defined or explained to a maximum of 4 marks
For explanation – award 1 mark for each link in a logical chain of reasoning to a maximum of 15 marks.	
Possible explanations include - A major international airport, such as Heathrow has multiplier effects on the local economy (1 mark). It is also important to the national economy as a transport hub (1 mark). The airport itself is these days likely to be a private sector enterprise (1 mark) and many other private sector organisations (shops, cafes, suppliers, contractors) will benefit from the economic activity (1 mark). If profitable, the whole enterprise will be a significant commercial success (1 mark). However, the government will be expected to provide infrastructure (1 mark) with an opportunity cost (1 mark). The taxpayer might not get an adequate return (1 mark). There are also environmental costs (1 mark) such as noise, air pollution and road congestion (1 mark for an example). Commercial success is measured by profits, whereas externalities and other market failures are difficult to measure (1 mark) therefore they can co-exist (1 mark). - An airport, such as Heathrow, as a major employer	
Use of diagrams to support explanations, e.g. Internal / external costs and benefits	Up to 2 marks per diagram (1 mark for labelling, 1 mark for information shown) to a total of 4 marks.
Relevant real world examples and/or relevant reference to the UK and/or other economies.	1 mark per reference to a maximum of 2 marks

[15]

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**Issues and areas for discussion include**

Introduction	Definitions of • wage levels • working conditions • differentials.
Developing the response to the question: (Application)	• Comments from own economic knowledge or based on the data, e.g. further comments on wage rates and differentials, and wages increasing and recently flat-lining (Extract D) • EU context (Extract E) • Discussion of other aspects, such as bonus caps, wealth tax, fixed ratios between higher and low paid workers (Extract F) • Other possible policies, e.g. minimum wage, living wage
Developing the response to the question: (Analysis)	• Possible effects of government intervention/market forces on output and employment • Benefits of a government intervention, e.g. reduced inequality, higher morale • Increased costs of NMW / other policies, effects on sectors / general economy • Other methods of raising wage levels, e.g. productivity enhancement, skills, education and training • Taxes, benefits and welfare to work • Short and long run considerations • Opportunity costs of government subsidies for the low paid • The economic disfunctionality of inequality • The case for market forces in resource allocation
Evaluation	• General arguments for and against government intervention in labour markets • Market failure versus government failure • Consideration of the issues from different points of view, e.g. employers, employees, taxpayers • Consideration of the affordability of government intervention • Arguments to do with competitiveness • The government's own position as a major employer (local and national government) • Efficacy of NMW compared with other policies • A high-wage economy versus a low-wage economy <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams • An overall judgement on the issues raised

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

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8.

Areas for discussion include:

- the existence of market failure
- explanation of how taxes reduce consumption
- distinction between specific and ad valorem tax
- the argument that if demand is inelastic, this will result in larger tax revenues which can be put towards public health spending to the same effect
- the extent to which the burden of the sugar tax will be passed on to consumers rather than hitting profits of producers
- the likely extent to which producers change their recipes to avoid the tax
- the fact that the tax only applies to some sugary drinks, and not others (eg milk-based or fruit-based drinks), and does not apply to sugary foods such as chocolate bars
- unintended consequences (positive and negative) which have emerged (or could emerge) from the policy
- alternative policies such as a minimum price per litre, a rationing of quantity, a ban in school vending machines, quantitative limits on the sugar added to drinks in the production process, subsidy for healthier alternatives
- policies to increase uptake of healthier alternatives such as water or milk including information campaigns, subsidies, free school milk, etc.
- whether more prominent labelling (perhaps using a “teaspoon of sugar” measure) is more or less effective
- whether consumer drinks choice is an appropriate area of interference by the Government, or alternatively evidence of the “nanny state”
- whether insights from behavioural economics offer possible solutions, e.g. nudge economics, social norms
- government failure arguments

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate’s response to the question.

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3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**9.****Areas for discussion include:**

- discussion of whether relative poverty is a problem, whether it is inevitable and insoluble.
- discussion of market forces
- the argument that some relative poverty has been created or reinforced by the state, through, for example the unemployment trap or a culture of benefits dependency
- discussion of the fact that the individual people defined as being in relative poverty have not always been so, and that the UK has reasonably good levels of social mobility with people moving in/out of relative poverty
- market forces can lead to job creation, providing one of the strongest routes out of poverty
- low labour taxes and low welfare spending provide stronger incentives for workers to escape poverty by their own means
- many problems associated with housing are linked to failures of policy rather than the market (eg lack of new homes resulting from Green Belt planning law, etc.)
- trickle down effects
- the need for government intervention to prevent wealth from being excessively concentrated in the hands of the rich
- why market forces are unlikely to deal adequately with some causes of poverty, e.g. poverty amongst the sick, disabled, the old and infirm
- arguments in favour of progressive direct taxes rather than regressive indirect taxes
- policies that retain an element of incentives, such as working tax credit
- the need for government intervention to establish a minimum level of essential human capital and physical capital investments (eg education and transport infrastructure)
- the tendency of markets to increase rather than decrease poverty
- the distinction between the impact of market forces on absolute, as opposed to relative, poverty.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

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10.

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**11.****Areas for discussion include:**

- analysis of the main sources of air pollution (road vehicles, ships, factories, energy production)
- analysis of the main impacts of air pollution (localised health problems, smog, acid rain, global warming)
- the impact that existing policies have had, eg air passenger duty, fuel excise duty, regulations surrounding emissions (NB Volkswagen scandal), price controls
- explanation of regulation
- the benefits of regulation (simple, easy to change, easier to enforce)
- the costs of regulation (blunt and inefficient tools, create rent-seeking behaviour, unresponsive to changing markets)
- explanation of property rights and how a clear allocation of property rights might help,
- the limitations of property right allocation as an effective policy
 - how the initial allocation of property rights can be extremely problematic
 - how difficult it can be to identify when a right is being breached. For example, if an individual has a right to clean air, how is “clean air” to be defined?
- the success or otherwise of tradable permit systems such as the EU Emission Trading Scheme and the Californian trading system
- explanation of environmental taxation and how it might be applied in this context
- the benefits and costs of taxation
- the international nature of the problem, meaning that interventions taken by individual countries can address localised problems such as smog, but that problems such as global warming require coordinated global action
- examples of successful/unsuccessful regulatory interventions
- whether improved information can be an effective antidote to polluting behaviour
- government failure arguments.

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12.

Areas for discussion include:

- what is meant by technological progress
- the historical impact of technological progress and how it has affected labour markets
- current issues around technological unemployment (eg self-service supermarket checkouts, driverless trucks, self-service ticket machines)
- the likely impact on jobs and wages
- concerns about the impact of technological progress on inequality and poverty, linked to regional and sectoral differences (making use of Extract D)
- labour market imperfections which make it difficult for unemployed worker to transfer into other jobs or locations
- how automation is now threatening well-paid, high-status jobs such as surgeons and accountants, not only manufacturing or retail work, and that the determining factor for automation risk is whether the tasks are routine or varied
- the optimists' argument that robots will only be used where profit can be made, and this requires a customer base who need to have a source of income (most likely to come from wages)
- the benefits of allowing the price mechanism to function
- analysis and assessment of the consequences of technological progress as a result of dynamic efficiency on costs, output, quality in product markets
- analysis and assessment of: the UBI proposal, a robot tax, retraining programmes, job creation programmes or any other appropriate form of intervention
- discussion of possible government failure when designing policies in such a fast-moving area
- the case against intervention, to allow market forces to redistribute labour and other factors of production to where they are demanded
- the view that the basic economic problem of scarcity is unlikely to be solved and hence new jobs will always be created to replace those that are lost
- evaluation of how much automation is actually a problem that needs to be addressed
- market failure arguments
- government failure arguments.

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1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which, at best, is very weak • includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

13.

Areas for discussion include:

- explanation of competition and the range of government policies to foster competition
- discussion of the nature of the UK banking sector and the historic dominance of Lloyds, Barclays, RBS Natwest and HSBC
- awareness of recent changes to the market structure, eg
 - 2008 financial crisis – Northern Rock, Bradford & Bingley bankruptcies
 - Lloyds-HBOS merger, TSB demerger
- innovation in the banking sector, resulting in a move away from FIIC accounts towards packaged accounts and cashback
- Big Four problems over unwieldy and costly IT infrastructure, diseconomies of scale and scope
- barriers to entry in the banking sector, including
 - legal/regulatory
 - physical, eg branch network
 - financial, eg start-up capital required
 - customer inertia (link to behavioural economics)
- comparison with other utilities' contestability
- discussion of possible policies, including
 - breaking up large banks (eg demerger of TSB and Lloyds, and attempted sale by RBS of Williams and Glyn)
 - price regulation
 - improving information in the market, eg price comparison websites and Customer Switching Service
 - nudge/behavioural policies (as per CMA Review)
- recent rise in new entrants and connection to the rise of internet banking
- benefits of competition
- benefits of concentration, eg economies of scale, high MES, high profits facilitating innovation
- the impact of market forces, creative destruction and new technology in the banking sector
- are the banks exploiting consumers, including possible collusion?
- the role of the Bank of England, the PRA and the FPC
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

14.**Areas for discussion include:**

- definition of market failure
- distinction between MSB and MPB (allow MSC and MPC)
- explanation of why MPB is greater than MSB
- analysis of the negative consumption (allow production) externalities produced by driving petrol and diesel cars
 - air pollution
 - noise pollution
 - congestion
 - accidents
- why the existence of negative externalities leads to over-production and consumption
- discussion of current government interventions such as licences, speed limits, age restrictions, congestion charge
- information asymmetry problems, for example the fact that diesel cars used to be thought of as cleaner than petrol cars.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

**15.****Areas for discussion include:**

- explanation of the gig economy and the difference between terms of employment in the gig economy and standard employment
- discussion of the emerging trends that have contributed to the rise of the gig economy, such as technological progress and online commerce
- what is meant by the 'interests of people who are working in the gig economy'
- discussion of the reasons why some roles/industries are more likely to arise in the gig economy than others
- the benefits of gig economy work to the individual, such as: flexibility over hours, ease of switching between jobs, autonomy from having no supervising manager
- the costs of gig economy work to the individual, such as lower pay and fewer non-wage benefits (for example pension, health insurance, maternity benefits)
- analysis of why wages may be lower and working conditions worse in the gig economy than in the formal sector
- benefits and costs of the gig economy to firms and the wider economy, such as greater labour mobility, lower costs of production, economic efficiency
- discussion of the impact of the pandemic on the gig economy
- discussion of possible policies, such as legislation, raising minimum wages, guaranteeing minimum hours for all roles, redefining gig economy workers as 'employed' rather than 'self-employed'
- the argument that the need for government intervention is reduced by the existence and growth of trade unions representing gig economy workers
- the argument that the need for government intervention is reduced by the fact that some firms in the gig economy are improving conditions for their workers anyway
- use of examples
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes attempted evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1–5 marks

Level of response	Response	Max 15 marks
3	A good response provides an answer that: - is well organised and develops a selection of the key issues that are relevant to the question - shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: - focuses on issues that are relevant to the question - shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: - has one or more relevant issues identified - has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - has very limited application of relevant economic principles and/or data to the question - might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

Remember: AO4, i.e. evaluation, is not being assessed through this question.

Relevant issues include:

- the distinction between nominal and real house prices; given the data, most students are likely to focus on causes of changes in nominal house prices
- use of the data in Figure 4 showing the changes in house prices over the period
- the role of the demand for and supply of houses as causes of changes in house prices
- determinants of the demand for houses, eg availability of mortgages, cost of mortgages, required loan-to-value ratios, deposit required, income, other factors affecting affordability, confidence and expectations, speculation and property price bubbles, government support, tax changes affecting the property market (may also affect supply)
- determinants of the supply of houses, including factors that determine:
 - long-term changes in the housing stock, eg building new houses, change of use, supply of building land, technological change
 - short-term changes in the flow of houses available to buy, eg building new houses and existing owners' willingness to put their property on the market

- elasticity of demand and supply of houses and their significance to house price fluctuations
- possible reasons why the average house price fell by around 15% in 2008, e.g. linked to the financial crisis, availability of credit, confidence and the general state of the economy
- possible reasons why the average house price changed little in nominal terms between 2009 and 2012 – demand and supply were both subdued, eg the hangover from the financial crisis, little growth in nominal incomes/falling real incomes, rising unemployment, but low interest rates and low levels of house building
- possible reasons for the substantial rise in the average price of a house between 2012 and 2017 (+34%), e.g. sustained period of very low interest rates, mortgage finance more readily available, economy growing and unemployment falling, returning confidence and expectations of house prices rising further in the future, the role of the Finance For Lending scheme, the Help to Buy Scheme, changes in SDLT, population/households growing more rapidly than the supply of new properties, planning and other government restrictions on the supply of building land, large house builders 'sitting on' land that could have been used for building new homes
- distinction between those factors that caused short-term changes in the average house price between 2007 and 2017 and those that resulted in a general upward trend in the nominal average house price
- consideration of causes of differences in the change in the average house price in different regions of the UK.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a student's response to the question.

[15]

17.

Areas for discussion include:

- discussion of national minimum wages including why they have been introduced
- discussion of the distinction between the NMW and National Living Wage in the UK
- analysis of how a national minimum wage works in an otherwise competitive market, and the consequent theoretical impact
- analysis of how a national minimum wage works in a monopsonistic labour market, and the consequent theoretical impact
- arguments for a NMW
 - prevents exploitation
 - reduces in-work poverty and inequality
 - incentivises firms to invest in labour productivity-enhancing capital
 - boosts motivation amongst workers leading to enhanced productivity
 - can remove the ability of immigrants to undercut existing workers' wages, which brings costs and benefits
- arguments against a NMW
 - can create unemployment by setting a wage higher than the marginal revenue product of some workers
 - unemployment may be concentrated amongst low-skilled workers from disadvantaged backgrounds thus reinforcing existing inequality
 - certain sectors affected more than others (e.g. careworkers, hospitality, retail). Higher wage costs may lead to falling profits and business failure
 - where firms pass on higher labour costs to consumers via product prices, this may be regressive
 - administrative costs of introducing and uprating the minimum wage, along with policing and prosecuting firms that break the rules
- labour market flexibility and supply-side considerations
- impact on the economy as a whole e.g. cost-push inflation, international competitiveness
- evidence from the UK or elsewhere about the impact on the labour market and wider economy
- consideration of the level or 'bite' of the NMW
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

18.

Areas for discussion include:

- explanation of minimum prices and why they might be introduced by a government regulator
- definition and explanation of PED and PES
- use of formulae and/or calculations to illustrate elasticity
- explanation of the determinants of PED and PES
- analysis of how the impact of a minimum price will vary according to PED. This is likely to lead to a greater proportionate change in quantity if demand is elastic rather than inelastic
- analysis of how the impact of a minimum price will vary according to PES. This is likely to lead to a greater proportionate change in quantity if supply is elastic rather than inelastic
- how excess supply is affected by PED and PES and what this might mean for the market
- analysis of how the impact of a minimum price will vary if a market has both elastic PED and elastic PES compared to an inelastic PED and PES
- analysis of how the impact of a minimum price will depend on whether the price is supported by intervention buying
- use of examples of the above situations.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11 – 15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6 – 10 marks
1	A weak response provides an answer that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1 – 5 marks

[15]

19.

Areas for discussion include:

- discussion of the field of behavioural economics, and how it differs from conventional economic analysis
- discussion of how governments are now beginning to use behavioural economics to achieve policy aims, not least in the UK where the Cabinet Office Behavioural Insights Team (Nudge Unit) has been at the forefront of international work in this field
- the types of policy which can be labelled as behavioural economics policies
- advantages of behavioural economics policies
 - relatively simple and low-cost
 - allows people freedom of choice without coercion
 - development of policies is based on trials, so is based on evidence
 - may be able to overcome weaknesses in consumer behaviour theory including irrationality and inconsistency
- disadvantages of behavioural economics policies
 - can be considered manipulative and unethical
 - may well change people's choices but these choices may not reflect people's true preferences
 - based on relatively weak evidence, which may not be consistent over time
 - may not be as effective as traditional policies
- examples from the work of the Nudge Unit and analysis of whether their policies have been successful
- the types of traditional economic policy, including indirect taxes and subsidies, maximum and minimum prices
- advantages and disadvantages of traditional policies
- discussion of what usefulness means in this context, including the cost of the intervention and its effectiveness
- consideration of different types of market failure
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

20.

Calculation:

£6697 million/£9160 million:

0.731114...

£0.73 or 73p (to nearest penny)

Response	Max 2 marks
For the correct answer to the nearest penny	2 marks
For the correct answer incorrectly rounded and/or without units OR For the correct method but the wrong answer, to the nearest penny and with the correct units	1 mark

[2]

21.

Areas for discussion include:

- what is meant by renationalisation
- explanation of natural monopoly
- arguments in favour of renationalisation
 - simpler consumer offering, less baffling ticketing options, more consistent service
 - economies of scale, eg purchasing of rolling stock, marketing
 - greater consideration of externalities, eg safety
 - necessary for making much-needed investment in new tracks and technology, although government currently subsidising network rail so perhaps little impact here
 - no great upfront cost as nationalisation occurs when franchises come to an end
 - successful state-run railways across much of Europe
 - current situation appears to nationalise the risks, but privatise the rewards (East Coast mainline)
 - the relative success enjoyed by the East Coast mainline when run by the state
 - current situation isn't true competition anyway as consumers rarely have a choice of suppliers for a given journey
- arguments against renationalisation
 - passenger numbers have expanded enormously since privatisation, with UK rail being used very intensively
 - recent increase in investment under private hands
 - big improvements have occurred in safety, innovation and comfort
 - no excessive profits being made consistently by rail firms, with small profit margins being the norm
 - many current concerns about railways (eg overcrowding, punctuality) are unlikely to be resolved by a change of ownership
- market failure arguments
- government failure arguments.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principle but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

**22.****Areas for discussion include:**

- explanation of market forces and government intervention
- acknowledgement of recent rapid growth in the supply of waste
- discussion of the global market for waste, with waste from the rich world being shipped to parts of the developing world, where lower-cost labour makes sorting cost-effective and there is greater demand for second-hand materials
- discussion of how the 'collect, sort, export' model has been threatened by China's decision to effectively ban imports of some types of waste'
- explanation of how rich countries, by moving away from manufacturing and into service sectors, have effectively outsourced production to developing countries, thus exporting some of the environmental problems too
- explanation of the 'circular economy' and how it differs from the current market model of supply and demand
- how there are economic benefits to circularity as well as costs (eg job creation)
- discussion of possible policies at the national level
 - regulations
 - taxation of raw material inputs
 - subsidies
 - permits and quotas
 - forcing producers to pay for disposal of products
- discussion of problems with the above policies, including feasibility, effectiveness and cost
- the likely uneven impact across different sectors of introducing policies to promote circularity
- explanation of how international agreement may be necessary given the global nature of the problem and discussion of how such international agreements are slow to achieve and often fail to address problems identified
- discussion of EU targets for national governments to improve their recovery rates
- how the market may respond to lower waste prices via rationing, signalling and incentive effects: for example, automation may replace human sorters at waste plants, and online markets for second-hand raw materials may develop
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgments but these are not well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes attempted evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which, at best, is very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

[25]

**23.****Areas for discussion include:**

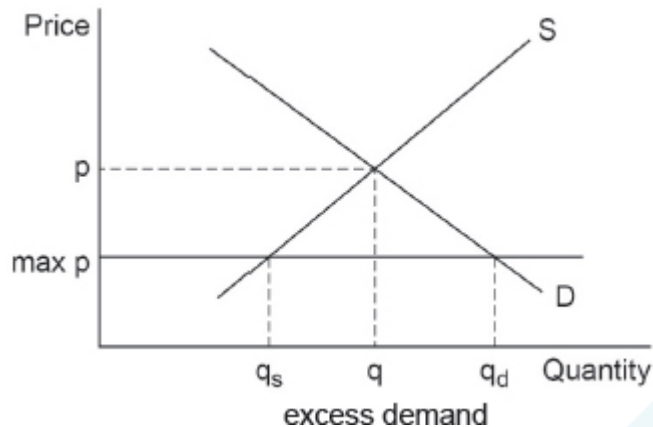
- explanation of market forces and government intervention
- acknowledgement of recent rapid growth in the sand market
- discussion of the increasingly global market for sand, with the commodity being transported vast distances by sea
- explanation of how the market might respond to challenges via the price mechanism (incentives, signalling, rationing)
 - price of sand rising leading to recycling and reduction in use
 - substitutes becoming more available
- ability of the market/government response to cope with future developments, including rising sea levels and the expected construction needs of rapidly developing countries
- discussion of problems created by the sand industry
 - externalities from degradation of environment
 - externalities from transport of sand
 - tragedy of the commons
 - disappearance of Indonesian islands
 - sand dredging damaging biodiversity
 - vulnerability to extreme weather
- discussion of benefits of the sand industry
 - restoring coasts of low-lying islands such as Kiribati
- discussion of possible policies at the national level
 - regulations
 - taxation
 - permits and quotas
 - price regulation
- discussion of problems with the above policies, referencing the organised criminal networks in India, black markets, etc.
- explanation of how international agreement may be necessary given the global nature of the problem
- discussion of how such international agreements are slow to achieve and often fail to address problems identified
- market failure arguments
- government failure arguments.

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the student's response to the question.

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21 – 25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16 – 20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11 – 15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles to the given context and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6 – 10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes application to the given context which is, at best, very weak - includes attempted analysis which is weak and unsupported.	1 – 5 marks

24.

The correct diagram involves a supply and demand diagram, illustrating an initial equilibrium point, a maximum price below equilibrium and some indication of excess demand, either by writing 'excess demand' in the appropriate place or by labelling the two coordinates for supply and demand at this new price (q_1 and q_2 would be acceptable, for example, instead of q_s and q_d).



Response	Max 4 marks
Accurately drawn D/S diagram showing initial equilibrium, a maximum price drawn below equilibrium, and the resulting disequilibrium with excess demand clearly illustrated, with both axes and all curves and coordinates correctly labelled. Excess demand could be illustrated by just showing q_d and q_s as above (for example) or by indicating the excess demand in some other meaningful way.	4 marks
Accurately drawn D/S diagram showing a maximum price below equilibrium with one label missing or incorrect (on axis or curve). OR Accurately drawn D/S diagram showing a maximum price below equilibrium with one coordinate missing or incorrect (P or Q).	3 marks
Accurately drawn D/S diagram showing a maximum price below equilibrium with two labels/coordinates missing/incorrect (treat excess demand as one label).	2 marks
Accurately drawn D/S diagram showing an initial equilibrium point with both axes, both original curves and both coordinates correctly labelled, eg p, q (max p may be missing or not below equilibrium).	1 mark

Notes: Horizontal axis allow: Quantity of water, Quantity or Q (but not QD or QS or output).
Vertical axis allow: Price, P, £ or some monetary symbol (but not Price level).

[4]

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, good use of data to support the response - includes well-focused analysis with clear, logical chains of reasoning - includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: - is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors - includes good application of relevant economic principles and, where appropriate, some good use of data to support the response - includes some well-focused analysis with clear, logical chains of reasoning - includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: - focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present - includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response - includes some reasonable analysis but which might not be adequately developed or becomes confused in places - includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: - includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely - includes some limited application of relevant economic principles and/or data to the question - includes some limited analysis but it may lack focus and/or become confused - includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: - includes little relevant knowledge and understanding of economic terminology, concepts and principles - includes analysis which is, at best, very weak - includes attempted evaluation which is weak and unsupported.	1–5 marks



Relevant issues and areas for discussion include:

- market failure as a justification for government support
- damage to the environment as source of market failure in the commercial aircraft industry, eg greenhouse gas emissions, noise pollution
- the high cost and risk may, without government support, lead to inadequate spending on R&D and capital investment
- to support investment in human capital where the existence of positive externalities may be a source of market failure and, if left to the private sector, may mean spending is too low
- to support growth and employment in the less prosperous regions where market failures may mean that they do not develop sufficiently, eg immobility of labour, inertia, cumulative causation and local multiplier effects
- may help to promote improvements in productivity and competitiveness
- external benefits (spin-offs) for other industries arising from developments in the commercial aircraft manufacturing industry
- supports UK manufacturing helping to achieve a more diversified, balanced economy
- may be needed to match the support provided by other countries
- may be needed in the short run to support the industry when there is a significant economic shock
- impact on employment
- impact on short-run and long-run economic growth
- government support as an injection into the circular flow of income and related multiplier effects
- impact on exports and the balance of payments
- may lead to over-reliance on government support, inhibiting improvements in productivity and efficiency
- may make it difficult for new firms to enter the market
- distorts the pattern of comparative advantage, supporting inefficient industries reducing the gains from trade
- may breach WTO rules and allow other countries to impose tariffs and other trade restrictions in retaliation
- implications for taxation, other categories of public expenditure and the budget balance
- various arguments relating to government failure, eg information failures, administrative costs, political motivations
- a supported recommendation.

The use of relevant diagrams to support analysis should be taken into account when assessing the quality of a candidate's response to the question.

An answer that does not include any evaluation, either throughout the answer or in a supported recommendation, must not be awarded more than 13 marks.

[25]